SYSTEM CRASH

The global tech industry, which went on an expansion spree during the Covid-19 pandemic, is now beset by a massive layoff wave, adding to the jobs crisis

By **AJAY SUKUMARAN**

For the past seven months, Pavan (*name changed*), a BTech graduate from Mohali, has been waiting for a call or an email from a leading Indian IT company. The 23-year-old was selected for the role of associate software engineer, but there has been no communication since then. He got through another MNC, but the firm soon informed him that it was halting its recruitment drive. With an education loan to repay, he is now working at a BPO.

Pavan is not alone—many of his own colleagues are in the same boat as the global tech industry faces a bloodbath. Ironically, with a 5 million-strong workforce, the tech industry in India till very recently was on a roll, with an unprecedented expansion spurred by the Covid-19 pandemic. During FY22, the top four Indian IT services firms—Tata Consultancy Services (TCS), Infosys, HCL Technologies and Wipro—together added around 240,000 employees. High salaries were on offer, firms were poaching employees; just a few months ago, concerns were being raised about 'moonlighting', i.e., employees taking on side gigs.

Then, things came crashing down. Starting with the US in November last year, big firms such as Amazon, Twitter, Meta and Salesforce began announcing layoffs in the thousands (see *A Brutal Winter*). "There definitely is turmoil," a senior IT hand in New York says about the job losses among the Indian expat community there. "Every week, along with the [earnings] announcements comes the bad news ... There is turmoil because if they don't find a job in the next 60 days, their visas become void and they have to return."

Back home, home-grown start-ups have already started downsizing. Reportedly, in just the first two weeks of this year, at least 11 Indian tech start-ups—including names such as ShareChat, Dunzo and Ola—fired about 1,400 employees. Even the big IT services players, which dominate tech sector hiring in India, are slowing down intake. The top four IT companies in India added only 1,940 employees between them in the October-December quarter last year as compared to 28,836 in the July-September period. From over 80 per cent in March 2022, the IT sector's contribution to active white-collar jobs in India dropped to a record low of 40 per cent in January this year, according to Bengaluru-based specialist staffing firm Xpheno. "I won't call it a [hiring] freeze as enterprises are hiring for attrition refills...there's no expansion hiring *per se*," says Kamal Karanth, co-founder at Xpheno.

Companies are slowly re-strategising for the post-Covid scenario, with a focus on utilising excess capacity. During a recent TCS earnings call, CEO Rajesh Gopinathan said the firm should be back to a "more normal kind of hiring trend", having hired significantly ahead of its revenue growth in 2021. The picture varies across companies in the Indian tech industry, which includes start-ups, product firms and global captive centres. "This quarter, we have a hiring freeze as well as a restriction

A CRUEL WINTER

In 2022: 1,040 tech companies laid off 159,684 employees globally

In 2023 (by Jan. 30): 229 tech companies laid off 68,502 employees globally

TECH LAYOFFS GLOBALLY

Amazon **18,000**	Google **12,000**	Meta **11,000**
Microsoft **10,000**	IBM **3,900**	SAP **3,000**

(Source: Company announcements, media reports)

START-UP LAYOFFS IN INDIA

Sharechat **500**	Swiggy **380**	Ola **200**
Captain Fresh **120**	Skit.ai **115**	Cashfree Payments **100**

(Source: Layoffs.fyi, which has been tracking media reports on tech layoffs since Covid-19)